

ciation of Mutual Funds in India, while 4.5 million SIPs were opened in February, 5.5 million were discontinued. Some of this decline— 1.2–1.5 million—is attributed to reconciliation with exchanges and registrar and transfer agents, for 2024, though. The ratio of SIPs discontinued/completed to new registrations was 122% in February 2025, the highest since at least April 2021. Similarly, in January 2025, 6.1 million SIPs were discontinued and 5.6 million new ones registered. In December 2025, however, the numbers were 5.4 million new SIPs vs 4.5 million stopped SIPs. The ratio of SIPs discontinued to SIPs registered was 109% in January 2025 and 83% in December 2024. Moreover, the number of contributing SIP accounts fell from 83.4 million in January to 82.6 million in February. Monthly SIP collections dropped from ₹26,400 crore in January to ₹25,999 crore in February. The mutual fund industry's assets under management also declined, from ₹67.25 lakh crore in January to ₹64.53 lakh crore in February.

However, on the brighter side, the investors have still not hit the panic button. Though there is an increase in discontinuation, these SIPs are still only 6% of the 82.6 million contributing SIPs. Moreover, there are signs markets might have a strong rebound as FII buying regains

momentum. After offloading stocks worth ₹1.5 lakh crore this financial year, FIIs reversed course, investing ₹3,181 crore on March 21 and ₹5,263 crore on March 24, leading to total inflows of over ₹8,444 crore in just two days. The recent uptick has happened when FIIs have largely been net sellers, pulling out ₹26,455 crore in March, ₹34,574 crore in February, and ₹78,027 crore in January.

"I compliment the investors. Generally, they have shown discipline and not pressed the panic button. The market has fallen more than expected but it will come back. People have confidence," says DP Singh, Deputy Managing Director, SBI Mutual Fund.

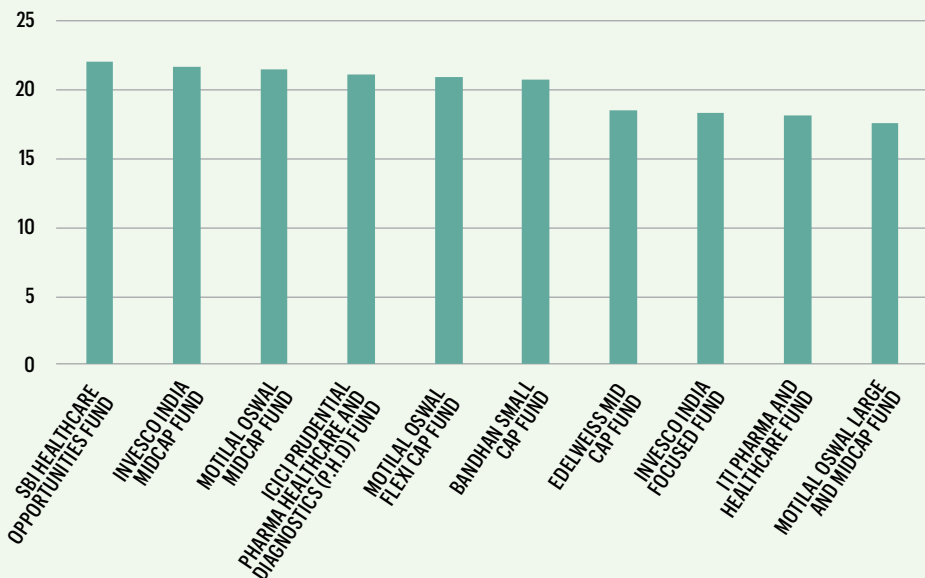
This is the first decline after the SIP boom that lasted for more than four years after the pandemic. The trigger was 32% CAGR returns between March 2020 and September 2024. Mutual fund folios surged from 89.7 million in March 2020 to 232.2 million in February 2025.

THE CORRECTION

The correction has been unforgiving and shaken investor confidence across segments. The reasons for the downturn include overvaluation of small and mid-caps, selling by foreign institutional investors

TOP TEN EQUITY FUNDS

- SBI Healthcare gave a 22% return in last one year
- Invesco Midcap followed with returns of 21.6%



WHILE SECTOR AND MID-CAP FUNDS HAVE DONE WELL OVER ONE YEAR, EXPERTS RECOMMEND EXPOSURE TO MULTI-CAP AND MULTI-ASSET FUNDS TO RIDE THE VOLATILITY

NOTE FIGURES IN %; DATA AS OF 9 MARCH 2025

SOURCE VALUE RESEARCH (FIVE- & FOUR-STAR FUNDS INCLUDED)